

Texas MLO Printable Flashcards

Cards: 150. **Print setup:** Letter paper, actual size / 100%, double-sided, flip on long edge.

Duplex section: Each front sheet is followed by its matching back sheet. Cut on dashed lines after printing.

Back alignment: Back pages are mirrored left-to-right so the cards line up when printed duplex on the long edge.

Simplex fallback: A fold/cut single-sided version appears after the duplex set for printers without reliable duplex alignment.

#1 DAY 1 RESPA / REGULATION X

FRONT

What is RESPA's core purpose?

#2 DAY 1 RESPA / REGULATION X

FRONT

Which regulation implements RESPA?

#3 DAY 1 RESPA / REGULATION X

FRONT

What is a federally related mortgage loan under RESPA generally tied to?

#4 DAY 1 RESPA / REGULATION X

FRONT

What is a settlement service?

#5 DAY 1 RESPA / REGULATION X

FRONT

What does RESPA Section 8 prohibit?

#6 DAY 1 RESPA / REGULATION X

FRONT

Are referral fees allowed under RESPA?

#7 DAY 1 RESPA / REGULATION X

FRONT

What is an Affiliated Business Arrangement?

#8 DAY 1 RESPA / REGULATION X

FRONT

What must an Affiliated Business Arrangement include?

#2 DAY 1 RESPA / REGULATION X

BACK

Regulation X, 12 CFR Part 1024.

#1 DAY 1 RESPA / REGULATION X

BACK

To protect consumers in federally related mortgage loans by requiring settlement-cost disclosures and prohibiting abusive settlement practices such as kickbacks and unearned fees.

#4 DAY 1 RESPA / REGULATION X

BACK

A service provided in connection with real estate settlement, such as title, appraisal, credit report, loan origination, closing, attorney, document preparation, or escrow services.

#3 DAY 1 RESPA / REGULATION X

BACK

A loan secured by residential real property designed principally for 1-4 family occupancy, when made by covered creditors/lenders.

#6 DAY 1 RESPA / REGULATION X

BACK

No. A fee or thing of value for referring settlement-service business is prohibited.

#5 DAY 1 RESPA / REGULATION X

BACK

Giving or receiving anything of value for settlement-service referrals and splitting charges except for services actually performed.

#8 DAY 1 RESPA / REGULATION X

BACK

Written disclosure of the relationship, estimated charges, and notice that the borrower is generally not required to use the affiliate.

#7 DAY 1 RESPA / REGULATION X

BACK

A referral to a settlement-service provider in which the referring party has an ownership or financial interest.

#9 DAY 1 RESPA / REGULATION X

FRONT

What is the initial escrow statement?

#10 DAY 1 RESPA / REGULATION X

FRONT

When must the annual escrow statement be provided?

#11 DAY 1 ECOA / REGULATION B

FRONT

What is ECOA's core purpose?

#12 DAY 1 ECOA / REGULATION B

FRONT

Which regulation implements ECOA?

#13 DAY 1 ECOA / REGULATION B

FRONT

What protected classes are covered by ECOA?

#14 DAY 1 ECOA / REGULATION B

FRONT

Can a creditor ask about marital status?

#15 DAY 1 ECOA / REGULATION B

FRONT

Under ECOA, what is adverse action?

#16 DAY 1 ECOA / REGULATION B

FRONT

What must an adverse action notice include?

#10 DAY 1 RESPA / REGULATION X

BACK

Annually, showing escrow activity, payments, deposits, disbursements, and shortages or surpluses.

#9 DAY 1 RESPA / REGULATION X

BACK

A disclosure showing expected escrow deposits and disbursements for the first year of the escrow account.

#12 DAY 1 ECOA / REGULATION B

BACK

Regulation B, 12 CFR Part 1002.

#11 DAY 1 ECOA / REGULATION B

BACK

To prohibit discrimination in credit transactions.

#14 DAY 1 ECOA / REGULATION B

BACK

Only when permitted by Regulation B, such as for secured credit, community property, or joint credit contexts.

#13 DAY 1 ECOA / REGULATION B

BACK

Race, color, religion, national origin, sex, marital status, age, receipt of public assistance, and exercising rights under consumer credit protection laws.

#16 DAY 1 ECOA / REGULATION B

BACK

The action taken, specific reasons or notice of right to reasons, ECOA notice, creditor identity, and relevant agency information.

#15 DAY 1 ECOA / REGULATION B

BACK

A denial, revocation, unfavorable change, or refusal to grant requested credit substantially on requested terms.

#17 DAY 1 ECOA / REGULATION B

FRONT

What is the general ECOA timing for notifying an applicant of action taken?

#18 DAY 1 ECOA / REGULATION B

FRONT

Can public assistance income be discounted just because it is public assistance?

#19 DAY 1 ECOA / REGULATION B

FRONT

If a borrower refuses to provide race/ethnicity/sex information for HMDA monitoring, what should the MLO do?

#20 DAY 1 ECOA / REGULATION B

FRONT

What is a cosigner under ECOA?

#21 DAY 1 TILA / REGULATION Z

FRONT

What is TILA's core purpose?

#22 DAY 1 TILA / REGULATION Z

FRONT

Which regulation implements TILA?

#23 DAY 1 TILA / REGULATION Z

FRONT

What is APR?

#24 DAY 1 TILA / REGULATION Z

FRONT

What is a finance charge?

#18 DAY 1 ECOA / REGULATION B

BACK

No. It may be considered for continuance, reliability, and amount, but not discounted because of its source.

#17 DAY 1 ECOA / REGULATION B

BACK

Usually within 30 days after receiving a completed application.

#20 DAY 1 ECOA / REGULATION B

BACK

A person who assumes liability for another person's debt without receiving loan proceeds or primary benefit.

#19 DAY 1 ECOA / REGULATION B

BACK

Note that the borrower declined and, for in-person applications, collect based on visual observation or surname as required.

#22 DAY 1 TILA / REGULATION Z

BACK

Regulation Z, 12 CFR Part 1026.

#21 DAY 1 TILA / REGULATION Z

BACK

To promote informed use of credit through clear disclosure of credit terms and costs.

#24 DAY 1 TILA / REGULATION Z

BACK

The cost of consumer credit as a dollar amount, including charges payable directly or indirectly as a condition of credit.

#23 DAY 1 TILA / REGULATION Z

BACK

The cost of credit expressed as a yearly rate, including interest and certain finance charges.

#25 DAY 1 TILA / REGULATION Z

FRONT

What is the right of rescission?

#26 DAY 1 TILA / REGULATION Z

FRONT

How long is the standard rescission period?

#27 DAY 1 TILA / REGULATION Z

FRONT

Does the right of rescission usually apply to a purchase-money mortgage?

#28 DAY 1 TILA / REGULATION Z

FRONT

What is HOEPA?

#29 DAY 1 TILA / REGULATION Z

FRONT

What is an HPML?

#30 DAY 1 TILA / REGULATION Z

FRONT

What is the basic MLO compensation rule under Regulation Z?

#31 DAY 1 TRID

FRONT

What does TRID combine?

#32 DAY 1 TRID

FRONT

What is the Loan Estimate?

#26 DAY 1 TILA / REGULATION Z

BACK

Three business days after consummation, delivery of rescission notice, and delivery of material TILA disclosures, whichever occurs last.

#25 DAY 1 TILA / REGULATION Z

BACK

The borrower's right to cancel certain credit transactions secured by the borrower's principal dwelling.

#28 DAY 1 TILA / REGULATION Z

BACK

Home Ownership and Equity Protection Act rules for high-cost mortgages with special restrictions and disclosures.

#27 DAY 1 TILA / REGULATION Z

BACK

No. It generally applies to certain refinances or home equity loans secured by the principal dwelling, not purchase transactions.

#30 DAY 1 TILA / REGULATION Z

BACK

Compensation generally cannot be based on loan terms or conditions, and dual compensation from both consumer and another party is prohibited in the same transaction.

#29 DAY 1 TILA / REGULATION Z

BACK

A higher-priced mortgage loan, generally a closed-end consumer credit transaction secured by the principal dwelling with APR above specified APOR thresholds.

#32 DAY 1 TRID

BACK

A good-faith estimate of loan terms, projected payments, closing costs, and cash to close.

#31 DAY 1 TRID

BACK

TILA and RESPA mortgage disclosures into the Loan Estimate and Closing Disclosure.

#33 DAY 1 TRID

FRONT

When must the Loan Estimate be delivered or placed in the mail?

#34 DAY 1 TRID

FRONT

What six pieces of information trigger an application for TRID?

#35 DAY 1 TRID

FRONT

Can an MLO require verifying documents before issuing a Loan Estimate?

#36 DAY 1 TRID

FRONT

When must the Closing Disclosure be received before consummation?

#37 DAY 1 TRID

FRONT

What three changes require a new three-day Closing Disclosure waiting period?

#38 DAY 1 TRID

FRONT

What is a changed circumstance?

#39 DAY 1 TRID

FRONT

What is zero tolerance under TRID?

#40 DAY 1 TRID

FRONT

What is the 10% cumulative tolerance bucket?

#34 DAY 1 TRID

BACK

Consumer name, income, Social Security number to obtain credit report, property address, estimated property value, and mortgage loan amount sought.

#33 DAY 1 TRID

BACK

Within three business days after receiving an application.

#36 DAY 1 TRID

BACK

At least three specific business days before consummation.

#35 DAY 1 TRID

BACK

No. A creditor cannot require verification documents before providing the Loan Estimate.

#38 DAY 1 TRID

BACK

An event beyond control, new/inaccurate information, or borrower-requested change that affects settlement charges or eligibility.

#37 DAY 1 TRID

BACK

APR becomes inaccurate, loan product changes, or a prepayment penalty is added.

#40 DAY 1 TRID

BACK

Certain third-party and recording charges may increase by no more than 10% in total if the borrower uses providers selected by or identified by the creditor.

#39 DAY 1 TRID

BACK

Certain fees cannot increase from the Loan Estimate to Closing Disclosure unless a valid exception applies.

#41 DAY 1 OTHER FEDERAL LAWS

FRONT

What is HMDA's purpose?

#42 DAY 1 OTHER FEDERAL LAWS

FRONT

What is FCRA's mortgage relevance?

#43 DAY 1 OTHER FEDERAL LAWS

FRONT

What does FACTA add?

#44 DAY 1 OTHER FEDERAL LAWS

FRONT

What are Red Flags Rules aimed at?

#45 DAY 1 OTHER FEDERAL LAWS

FRONT

What is GLBA's mortgage relevance?

#46 DAY 1 OTHER FEDERAL LAWS

FRONT

What is the Bank Secrecy Act / AML focus for mortgage?

#47 DAY 1 OTHER FEDERAL LAWS

FRONT

What is Regulation N?

#48 DAY 1 OTHER FEDERAL LAWS

FRONT

What is the E-SIGN Act?

#42 DAY 1 OTHER FEDERAL LAWS

BACK

It governs use of consumer reports, permissible purpose, adverse action tied to credit reports, identity theft, and credit information accuracy.

#41 DAY 1 OTHER FEDERAL LAWS

BACK

To collect and report mortgage data to identify lending patterns, possible discrimination, and community credit needs.

#44 DAY 1 OTHER FEDERAL LAWS

BACK

Detecting, preventing, and mitigating identity theft.

#43 DAY 1 OTHER FEDERAL LAWS

BACK

Identity theft protections, fraud alerts, truncation rules, and free credit report rights.

#46 DAY 1 OTHER FEDERAL LAWS

BACK

Detecting and reporting suspicious activity, including fraud, money laundering, and structured transactions.

#45 DAY 1 OTHER FEDERAL LAWS

BACK

Privacy and safeguarding of consumers' nonpublic personal information.

#48 DAY 1 OTHER FEDERAL LAWS

BACK

It allows electronic records and signatures if consumer consent and other requirements are met.

#47 DAY 1 OTHER FEDERAL LAWS

BACK

Mortgage Acts and Practices advertising rule prohibiting material misrepresentations in mortgage advertising.

#49 DAY 1 OTHER FEDERAL LAWS

FRONT

What does the Homeowners Protection Act cover?

#50 DAY 1 OTHER FEDERAL LAWS

FRONT

What federal agency is central to consumer mortgage regulation?

#51 DAY 2 SAFE ACT / LICENSING

FRONT

What is the SAFE Act's purpose?

#52 DAY 2 SAFE ACT / LICENSING

FRONT

What is the NMLS unique identifier?

#53 DAY 2 SAFE ACT / LICENSING

FRONT

What two activities define an MLO under the SAFE framework?

#54 DAY 2 SAFE ACT / LICENSING

FRONT

Who usually does not need a state MLO license because of federal registration?

#55 DAY 2 SAFE ACT / LICENSING

FRONT

What is sponsorship?

#56 DAY 2 SAFE ACT / LICENSING

FRONT

Can an inactive or unsponsored licensee originate?

#50 DAY 1 OTHER FEDERAL LAWS

BACK

CFPB, which administers or enforces many federal consumer financial protection laws.

#49 DAY 1 OTHER FEDERAL LAWS

BACK

Cancellation and termination of private mortgage insurance on certain residential mortgage loans.

#52 DAY 2 SAFE ACT / LICENSING

BACK

A permanent identifier assigned to an MLO or entity for tracking through NMLS and consumer access.

#51 DAY 2 SAFE ACT / LICENSING

BACK

To improve accountability and tracking of MLOs, enhance consumer protection, reduce fraud, and create minimum licensing standards.

#54 DAY 2 SAFE ACT / LICENSING

BACK

MLOs employed by federally regulated depository institutions or certain regulated subsidiaries, though they must be registered.

#53 DAY 2 SAFE ACT / LICENSING

BACK

Taking a residential mortgage loan application and offering or negotiating residential mortgage loan terms for compensation or gain.

#56 DAY 2 SAFE ACT / LICENSING

BACK

No. The license must be active and properly sponsored/authorized.

#55 DAY 2 SAFE ACT / LICENSING

BACK

A licensed company or qualifying entity authorizes and accepts responsibility for the MLO's licensed activity.

#57 DAY 2 SAFE ACT / LICENSING

FRONT

What is temporary authority to originate?

#58 DAY 2 SAFE ACT / LICENSING

FRONT

What may state regulators examine?

#59 DAY 2 SAFE ACT / LICENSING

FRONT

What are common grounds for license denial?

#60 DAY 2 SAFE ACT / LICENSING

FRONT

What is a key advertising requirement for licensed MLOs?

#61 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

Which Texas agency licenses most primary residential mortgage MLOs?

#62 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

Which Texas agency licenses RMLOs for certain secondary or specialized credit products?

#63 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas law is central to RMLO licensing?

#64 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

Under Texas SML guidance, who must be licensed as an RMLO?

#58 DAY 2 SAFE ACT / LICENSING

BACK

Books, records, documents, operations, and personnel related to mortgage origination and compliance.

#57 DAY 2 SAFE ACT / LICENSING

BACK

Limited authority for certain qualified MLOs moving from federal registration or another state license while a state application is pending.

#60 DAY 2 SAFE ACT / LICENSING

BACK

Include the NMLS unique identifier where required, especially in advertisements and business materials.

#59 DAY 2 SAFE ACT / LICENSING

BACK

Failure to meet education/testing/background standards, lack of financial responsibility or character, disqualifying criminal history, or false/incomplete application information.

#62 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas Office of Consumer Credit Commissioner (OCCC).

#61 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas Department of Savings and Mortgage Lending (SML).

#64 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

An individual who, for compensation or gain, takes a residential mortgage loan application or offers/negotiates residential mortgage loan terms, unless exempt.

#63 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas SAFE Act, Texas Finance Code Chapter 180, plus related Texas Finance Code Chapter 157 for mortgage banker/RMLO licensing.

#65 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas pre-licensing education point should you remember?

#66 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What is Texas's main constitutional mortgage topic?

#67 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas source lists mortgage origination statutes and rules?

#68 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas rule chapter governs residential mortgage loan originators under SML?

#69 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas finance chapters should an RMLO recognize?

#70 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What is the licensing lesson from Texas OCC's RMLO page?

#71 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a qualified mortgage?

#72 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a conventional conforming loan?

#66 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Homestead lending, especially Texas Constitution Article XVI, Section 50.

#65 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas requires SAFE/NMLS-approved education, including Texas-specific instruction on applicable laws, rules, and practice considerations.

#68 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas Administrative Code, Title 7, Chapter 55.

#67 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas SML's Mortgage Origination Laws and Regulations page.

#70 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas has two RMLO licensing agencies; product type and lending authority determine whether SML or OCCC applies.

#69 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Chapters 156, 157, 159, 180, 342, and 343, depending on loan/product context.

#72 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A non-government loan that meets Fannie Mae/Freddie Mac standards, including loan limits and underwriting rules.

#71 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A loan meeting ATR/QM standards designed to limit risky features and support ability-to-repay compliance.

#73 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a jumbo loan?

#74 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are FHA loans known for?

#75 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are VA loans known for?

#76 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are USDA loans known for?

#77 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a fixed-rate mortgage?

#78 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is an ARM?

#79 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are ARM caps?

#80 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a balloon mortgage?

#74 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Government-insured loans with flexible credit/down-payment guidelines and mortgage insurance.

#73 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A conventional nonconforming loan exceeding conforming loan limits or agency requirements.

#76 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Rural housing loans for eligible properties and borrowers, often with low or no down payment.

#75 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Loans for eligible veterans/service members, often with no down payment and a VA guaranty.

#78 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

An adjustable-rate mortgage with an interest rate that can change after an initial fixed period according to index, margin, and caps.

#77 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A mortgage with an interest rate that stays the same for the life of the loan.

#80 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A loan with smaller payments followed by a large final payment at maturity.

#79 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Limits on how much the interest rate or payment can change at adjustment, annually, or over the life of the loan.

#81 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a reverse mortgage?

#82 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a HELOC?

#83 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is LTV?

#84 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is DTI?

#85 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are discount points?

#86 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a 2-1 buydown?

#87 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is table funding?

#88 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is subordination?

#82 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A revolving home equity line of credit secured by the property.

#81 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A loan, often HECM, allowing older homeowners to access equity with repayment generally due when the borrower sells, moves out, or dies.

#84 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Debt-to-income ratio: monthly debt obligations divided by qualifying gross monthly income.

#83 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Loan-to-value ratio: loan amount divided by property value or purchase price, depending on guidelines.

#86 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A temporary buydown where payments are subsidized, often 2% lower in year 1 and 1% lower in year 2 before reaching the note rate.

#85 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Prepaid interest paid upfront to reduce the note rate, typically expressed as points where one point equals 1% of loan amount.

#88 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Keeping an existing lien in a lower priority position behind a new or modified senior lien.

#87 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A closing arrangement where the loan is funded by an investor or third party at settlement while another party originates.

#89 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is an escrow account?

#90 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is APR versus interest rate?

#91 DAY 3 ORIGINATION WORKFLOW

FRONT

What is the difference between inquiry and application?

#92 DAY 3 ORIGINATION WORKFLOW

FRONT

What is the MLO's duty when taking an application?

#93 DAY 3 ORIGINATION WORKFLOW

FRONT

What does ability-to-repay require?

#94 DAY 3 ORIGINATION WORKFLOW

FRONT

What must be verified in underwriting?

#95 DAY 3 ORIGINATION WORKFLOW

FRONT

What is the purpose of an appraisal?

#96 DAY 3 ORIGINATION WORKFLOW

FRONT

What are the three common appraisal approaches?

#90 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Interest rate is the cost of borrowing principal; APR reflects broader credit cost including certain fees.

#89 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

An account used to collect and pay recurring property-related charges such as taxes and insurance.

#92 DAY 3 ORIGINATION WORKFLOW

BACK

Collect accurate information, avoid prohibited questions, make required disclosures, and avoid steering or misrepresentation.

#91 DAY 3 ORIGINATION WORKFLOW

BACK

Inquiry is preliminary interest; application exists when required application information is received, triggering disclosure duties.

#94 DAY 3 ORIGINATION WORKFLOW

BACK

Income, assets, employment, credit, liabilities, property value, occupancy, and loan-program eligibility.

#93 DAY 3 ORIGINATION WORKFLOW

BACK

A reasonable, good-faith determination that the borrower can repay based on verified income/assets, employment, debt, credit history, payment, and related factors.

#96 DAY 3 ORIGINATION WORKFLOW

BACK

Sales comparison/market, cost, and income approaches.

#95 DAY 3 ORIGINATION WORKFLOW

BACK

To provide an independent opinion of property value supporting collateral analysis.

#97 DAY 3 ORIGINATION WORKFLOW

FRONT

Why is appraiser independence important?

#98 DAY 3 ORIGINATION WORKFLOW

FRONT

What is title insurance for?

#99 DAY 3 ORIGINATION WORKFLOW

FRONT

What is flood insurance tied to?

#100 DAY 3 ORIGINATION WORKFLOW

FRONT

What are prepaid items?

#101 DAY 3 CALCULATIONS

FRONT

Formula for LTV?

#102 DAY 3 CALCULATIONS

FRONT

Formula for CLTV?

#103 DAY 3 CALCULATIONS

FRONT

Formula for front-end housing ratio?

#104 DAY 3 CALCULATIONS

FRONT

Formula for back-end DTI?

#98 DAY 3 ORIGINATION WORKFLOW

BACK

To protect lender or owner against covered title defects, liens, or ownership claims.

#97 DAY 3 ORIGINATION WORKFLOW

BACK

To prevent coercion, conflicts, inflated values, and unfair lending outcomes.

#100 DAY 3 ORIGINATION WORKFLOW

BACK

Costs paid at closing for future periods, such as prepaid interest, taxes, insurance, or escrow setup.

#99 DAY 3 ORIGINATION WORKFLOW

BACK

Property in a Special Flood Hazard Area securing a loan from a covered lender.

#102 DAY 3 CALCULATIONS

BACK

Combined liens / property value = CLTV. Example:
 $\$240,000 \text{ first} + \$30,000 \text{ second} / \$300,000 = 90\%$.

#101 DAY 3 CALCULATIONS

BACK

Loan amount / property value = LTV. Example: $\$240,000 / \$300,000 = 80\%$.

#104 DAY 3 CALCULATIONS

BACK

Total monthly debt obligations including housing / gross monthly income.

#103 DAY 3 CALCULATIONS

BACK

Proposed housing payment / gross monthly income.

#105 DAY 3 CALCULATIONS

FRONT

How do you calculate one discount point?

#106 DAY 3 CALCULATIONS

FRONT

How do you calculate simple daily interest?

#107 DAY 3 CALCULATIONS

FRONT

How do you calculate down payment?

#108 DAY 3 CALCULATIONS

FRONT

What happens to LTV when down payment increases?

#109 DAY 3 CALCULATIONS

FRONT

What happens to DTI when monthly debts increase?

#110 DAY 3 CALCULATIONS

FRONT

What is cash to close?

#111 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is redlining?

#112 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is steering?

#106 DAY 3 CALCULATIONS

BACK

Principal x annual rate / 365 x number of days.

#105 DAY 3 CALCULATIONS

BACK

Loan amount x 1%. Example: 1 point on \$250,000 = \$2,500.

#108 DAY 3 CALCULATIONS

BACK

LTV decreases.

#107 DAY 3 CALCULATIONS

BACK

Purchase price minus loan amount.

#110 DAY 3 CALCULATIONS

BACK

Borrower's total funds needed at closing after credits, deposits, loan proceeds, and closing costs are considered.

#109 DAY 3 CALCULATIONS

BACK

DTI increases.

#112 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Directing a borrower to a loan not in their interest because it benefits the MLO or company.

#111 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Refusing or limiting credit in certain areas based on prohibited characteristics rather than credit risk.

#113 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is predatory lending?

#114 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is a kickback?

#115 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is fee splitting?

#116 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is occupancy fraud?

#117 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is income fraud?

#118 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is asset fraud?

#119 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is straw buyer fraud?

#120 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is identity theft risk in mortgage origination?

#114 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Anything of value exchanged for referral of settlement-service business.

#113 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Abusive lending that exploits consumers through unfair, deceptive, unaffordable, or equity-stripping terms.

#116 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Misrepresenting intended occupancy, such as claiming primary residence to obtain better terms while intending investment use.

#115 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Sharing fees without services actually performed, often prohibited under RESPA.

#118 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Falsifying assets, hiding borrowed funds, or using unexplained deposits as if they are legitimate borrower funds.

#117 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Falsifying or inflating income documentation or representations to qualify for a loan.

#120 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Use of stolen or synthetic identity information to apply for credit or obtain loan proceeds.

#119 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Using another person as the borrower to hide the true buyer or beneficiary.

#121 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What should an MLO do when discovering false borrower information?

#122 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

Can an MLO coach a borrower to omit debts not showing on a credit report?

#123 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

Can an MLO use a supervisor's NMLS number in advertising or documents?

#124 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What makes mortgage advertising misleading?

#125 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is UDAAP?

#126 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is the ethical response to a referral partner demanding payment for leads?

#127 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is the ethical issue with pressuring an appraiser?

#128 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is the ethical issue with unauthorized credit pulls?

#122 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

No. Omitting known liabilities is misrepresentation and a prohibited/unsafe practice.

#121 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Stop, escalate according to company policy, document appropriately, and do not submit or rely on false information.

#124 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

False or incomplete terms, hidden conditions, inaccurate payment/rate claims, or creating a false impression about government affiliation or approval.

#123 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

No. The correct individual/entity identifier must be used.

#126 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Refuse any prohibited referral fee/kickback and follow compliant marketing/referral rules.

#125 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Unfair, deceptive, or abusive acts or practices.

#128 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Consumer reports require permissible purpose and proper authorization.

#127 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

It compromises independent valuation and can violate appraisal independence rules.

#129 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT FRONT What is a conflict of interest?	#130 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT FRONT What should guide product recommendation?
#131 DAY 3 MIXED FINAL REVIEW FRONT Highest-weight NMLS content area?	#132 DAY 3 MIXED FINAL REVIEW FRONT Second-highest NMLS content area?
#133 DAY 3 MIXED FINAL REVIEW FRONT Ethics weight on the NMLS outline?	#134 DAY 3 MIXED FINAL REVIEW FRONT General Mortgage Knowledge weight?
#135 DAY 3 MIXED FINAL REVIEW FRONT Uniform State Content weight?	#136 DAY 3 MIXED FINAL REVIEW FRONT What should you do if exam facts conflict with old course notes?

#130 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Borrower needs, eligibility, ability to repay, loan terms, documented facts, and lawful fair-lending standards.

#129 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

A situation where personal or financial interests could compromise objective advice or consumer treatment.

#132 DAY 3 MIXED FINAL REVIEW

BACK

Federal Mortgage Related Laws at 24%.

#131 DAY 3 MIXED FINAL REVIEW

BACK

Mortgage Loan Origination Activities at 27%.

#134 DAY 3 MIXED FINAL REVIEW

BACK

20%.

#133 DAY 3 MIXED FINAL REVIEW

BACK

18%.

#136 DAY 3 MIXED FINAL REVIEW

BACK

Use current statutes, regulations, and official NMLS/test-outline guidance.

#135 DAY 3 MIXED FINAL REVIEW

BACK

11%.

#137 DAY 3 MIXED FINAL REVIEW

FRONT

What is consummation?

#138 DAY 3 MIXED FINAL REVIEW

FRONT

What should an MLO do with incomplete TRID disclosure information?

#139 DAY 3 MIXED FINAL REVIEW

FRONT

What is a loan originator prohibited from doing under compensation rules?

#140 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for disclosure timing questions?

#141 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for ethics scenarios?

#142 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for fair-lending questions?

#143 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for Texas licensing questions?

#144 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for product questions?

#138 DAY 3 MIXED FINAL REVIEW

BACK

Do not fabricate. Use known information, issue required disclosures timely, and update/revise only when rules permit.

#137 DAY 3 MIXED FINAL REVIEW

BACK

The time the consumer becomes contractually obligated on the credit transaction under applicable law.

#140 DAY 3 MIXED FINAL REVIEW

BACK

Identify the law, trigger event, clock start, business-day definition, and required recipient.

#139 DAY 3 MIXED FINAL REVIEW

BACK

Varying compensation based on terms or conditions of the loan, such as interest rate or loan product features.

#142 DAY 3 MIXED FINAL REVIEW

BACK

Focus on creditworthiness and program criteria, never protected characteristics.

#141 DAY 3 MIXED FINAL REVIEW

BACK

Choose the answer that protects the consumer, documents truthfully, escalates compliance issues, and refuses undisclosed compensation or false information.

#144 DAY 3 MIXED FINAL REVIEW

BACK

Match borrower need and risk to product features: rate type, payment structure, insurance/guaranty, term, and eligibility.

#143 DAY 3 MIXED FINAL REVIEW

BACK

Identify the activity, compensation/gain, loan type, exemption, agency jurisdiction, and sponsorship status.

#145 DAY 3 MIXED FINAL REVIEW FRONT What is the exam strategy for fraud questions?	#146 DAY 3 MIXED FINAL REVIEW FRONT What is a common wrong answer pattern?
#147 DAY 3 MIXED FINAL REVIEW FRONT What is the safest action when a borrower asks you to change facts to qualify?	#148 DAY 3 MIXED FINAL REVIEW FRONT What is the safest action when a fee changes near closing?
#149 DAY 3 MIXED FINAL REVIEW FRONT What is the safest action when a consumer asks for their Loan Estimate after the six application items are received?	#150 DAY 3 MIXED FINAL REVIEW FRONT What is the last-night rule?

#146 DAY 3 MIXED FINAL REVIEW

BACK

It benefits the MLO/referral partner, hides information, delays required disclosure, or assumes undocumented facts.

#145 DAY 3 MIXED FINAL REVIEW

BACK

Spot inconsistencies, unexplained funds, occupancy conflicts, altered documents, pressure, and missing verification.

#148 DAY 3 MIXED FINAL REVIEW

BACK

Determine tolerance category and valid change circumstance, redisclose/cure if required, and avoid unauthorized increases.

#147 DAY 3 MIXED FINAL REVIEW

BACK

Refuse, explain that the application must be accurate, and document/escalate according to policy.

#150 DAY 3 MIXED FINAL REVIEW

BACK

Do not learn new obscure topics late. Review timing, formulas, prohibited acts, Texas licensing triggers, and missed cards.

#149 DAY 3 MIXED FINAL REVIEW

BACK

Provide it within the required timing; do not wait for verifying documents.

Single-Sided Fold/Cut Version

#1 DAY 1 RESPA / REGULATION X

FRONT

What is RESPA's core purpose?

#2 DAY 1 RESPA / REGULATION X

FRONT

Which regulation implements RESPA?

#1 DAY 1 RESPA / REGULATION X

BACK

To protect consumers in federally related mortgage loans by requiring settlement-cost disclosures and prohibiting abusive settlement practices such as kickbacks and unearned fees.

#2 DAY 1 RESPA / REGULATION X

BACK

Regulation X, 12 CFR Part 1024.

#3 DAY 1 RESPA / REGULATION X

FRONT

What is a federally related mortgage loan under RESPA generally tied to?

#4 DAY 1 RESPA / REGULATION X

FRONT

What is a settlement service?

#3 DAY 1 RESPA / REGULATION X

BACK

A loan secured by residential real property designed principally for 1-4 family occupancy, when made by covered creditors/lenders.

#4 DAY 1 RESPA / REGULATION X

BACK

A service provided in connection with real estate settlement, such as title, appraisal, credit report, loan origination, closing, attorney, document preparation, or escrow services.

#5 DAY 1 RESPA / REGULATION X

FRONT

What does RESPA Section 8 prohibit?

#5 DAY 1 RESPA / REGULATION X

BACK

Giving or receiving anything of value for settlement-service referrals and splitting charges except for services actually performed.

#6 DAY 1 RESPA / REGULATION X

FRONT

Are referral fees allowed under RESPA?

#6 DAY 1 RESPA / REGULATION X

BACK

No. A fee or thing of value for referring settlement-service business is prohibited.

#7 DAY 1 RESPA / REGULATION X

FRONT

What is an Affiliated Business Arrangement?

#8 DAY 1 RESPA / REGULATION X

FRONT

What must an Affiliated Business Arrangement include?

#7 DAY 1 RESPA / REGULATION X

BACK

A referral to a settlement-service provider in which the referring party has an ownership or financial interest.

#8 DAY 1 RESPA / REGULATION X

BACK

Written disclosure of the relationship, estimated charges, and notice that the borrower is generally not required to use the affiliate.

#9 DAY 1 RESPA / REGULATION X

FRONT

What is the initial escrow statement?

#10 DAY 1 RESPA / REGULATION X

FRONT

When must the annual escrow statement be provided?

#9 DAY 1 RESPA / REGULATION X

BACK

A disclosure showing expected escrow deposits and disbursements for the first year of the escrow account.

#10 DAY 1 RESPA / REGULATION X

BACK

Annually, showing escrow activity, payments, deposits, disbursements, and shortages or surpluses.

#11 DAY 1 ECOA / REGULATION B

FRONT

What is ECOA's core purpose?

#12 DAY 1 ECOA / REGULATION B

FRONT

Which regulation implements ECOA?

#11 DAY 1 ECOA / REGULATION B

BACK

To prohibit discrimination in credit transactions.

#12 DAY 1 ECOA / REGULATION B

BACK

Regulation B, 12 CFR Part 1002.

#13 DAY 1 ECOA / REGULATION B

FRONT

What protected classes are covered by ECOA?

#14 DAY 1 ECOA / REGULATION B

FRONT

Can a creditor ask about marital status?

#13 DAY 1 ECOA / REGULATION B

BACK

Race, color, religion, national origin, sex, marital status, age, receipt of public assistance, and exercising rights under consumer credit protection laws.

#14 DAY 1 ECOA / REGULATION B

BACK

Only when permitted by Regulation B, such as for secured credit, community property, or joint credit contexts.

#15 DAY 1 ECOA / REGULATION B

FRONT

Under ECOA, what is adverse action?

#16 DAY 1 ECOA / REGULATION B

FRONT

What must an adverse action notice include?

#15 DAY 1 ECOA / REGULATION B

BACK

A denial, revocation, unfavorable change, or refusal to grant requested credit substantially on requested terms.

#16 DAY 1 ECOA / REGULATION B

BACK

The action taken, specific reasons or notice of right to reasons, ECOA notice, creditor identity, and relevant agency information.

#17 DAY 1 ECOA / REGULATION B

FRONT

What is the general ECOA timing for notifying an applicant of action taken?

#17 DAY 1 ECOA / REGULATION B

BACK

Usually within 30 days after receiving a completed application.

#19 DAY 1 ECOA / REGULATION B

FRONT

If a borrower refuses to provide race/ethnicity/sex information for HMDA monitoring, what should the MLO do?

#19 DAY 1 ECOA / REGULATION B

BACK

Note that the borrower declined and, for in-person applications, collect based on visual observation or surname as required.

#18 DAY 1 ECOA / REGULATION B

FRONT

Can public assistance income be discounted just because it is public assistance?

#18 DAY 1 ECOA / REGULATION B

BACK

No. It may be considered for continuance, reliability, and amount, but not discounted because of its source.

#20 DAY 1 ECOA / REGULATION B

FRONT

What is a cosigner under ECOA?

#20 DAY 1 ECOA / REGULATION B

BACK

A person who assumes liability for another person's debt without receiving loan proceeds or primary benefit.

#21 DAY 1 TILA / REGULATION Z

FRONT

What is TILA's core purpose?

#21 DAY 1 TILA / REGULATION Z

BACK

To promote informed use of credit through clear disclosure of credit terms and costs.

#22 DAY 1 TILA / REGULATION Z

FRONT

Which regulation implements TILA?

#22 DAY 1 TILA / REGULATION Z

BACK

Regulation Z, 12 CFR Part 1026.

#23 DAY 1 TILA / REGULATION Z

FRONT

What is APR?

#23 DAY 1 TILA / REGULATION Z

BACK

The cost of credit expressed as a yearly rate, including interest and certain finance charges.

#24 DAY 1 TILA / REGULATION Z

FRONT

What is a finance charge?

#24 DAY 1 TILA / REGULATION Z

BACK

The cost of consumer credit as a dollar amount, including charges payable directly or indirectly as a condition of credit.

#25 DAY 1 TILA / REGULATION Z

FRONT

What is the right of rescission?

#25 DAY 1 TILA / REGULATION Z

BACK

The borrower's right to cancel certain credit transactions secured by the borrower's principal dwelling.

#26 DAY 1 TILA / REGULATION Z

FRONT

How long is the standard rescission period?

#26 DAY 1 TILA / REGULATION Z

BACK

Three business days after consummation, delivery of rescission notice, and delivery of material TILA disclosures, whichever occurs last.

#27 DAY 1 TILA / REGULATION Z

FRONT

Does the right of rescission usually apply to a purchase-money mortgage?

#27 DAY 1 TILA / REGULATION Z

BACK

No. It generally applies to certain refinances or home equity loans secured by the principal dwelling, not purchase transactions.

#28 DAY 1 TILA / REGULATION Z

FRONT

What is HOEPA?

#28 DAY 1 TILA / REGULATION Z

BACK

Home Ownership and Equity Protection Act rules for high-cost mortgages with special restrictions and disclosures.

#29 DAY 1 TILA / REGULATION Z

FRONT

What is an HPML?

#30 DAY 1 TILA / REGULATION Z

FRONT

What is the basic MLO compensation rule under Regulation Z?

#29 DAY 1 TILA / REGULATION Z

BACK

A higher-priced mortgage loan, generally a closed-end consumer credit transaction secured by the principal dwelling with APR above specified APOR thresholds.

#30 DAY 1 TILA / REGULATION Z

BACK

Compensation generally cannot be based on loan terms or conditions, and dual compensation from both consumer and another party is prohibited in the same transaction.

#31 DAY 1 TRID

FRONT

What does TRID combine?

#32 DAY 1 TRID

FRONT

What is the Loan Estimate?

#31 DAY 1 TRID

BACK

TILA and RESPA mortgage disclosures into the Loan Estimate and Closing Disclosure.

#32 DAY 1 TRID

BACK

A good-faith estimate of loan terms, projected payments, closing costs, and cash to close.

#33 DAY 1 TRID

FRONT

When must the Loan Estimate be delivered or placed in the mail?

#34 DAY 1 TRID

FRONT

What six pieces of information trigger an application for TRID?

#33 DAY 1 TRID

BACK

Within three business days after receiving an application.

#34 DAY 1 TRID

BACK

Consumer name, income, Social Security number to obtain credit report, property address, estimated property value, and mortgage loan amount sought.

#35 DAY 1 TRID

FRONT

Can an MLO require verifying documents before issuing a Loan Estimate?

#36 DAY 1 TRID

FRONT

When must the Closing Disclosure be received before consummation?

#35 DAY 1 TRID

BACK

No. A creditor cannot require verification documents before providing the Loan Estimate.

#36 DAY 1 TRID

BACK

At least three specific business days before consummation.

#37 DAY 1 TRID

FRONT

What three changes require a new three-day Closing Disclosure waiting period?

#37 DAY 1 TRID

BACK

APR becomes inaccurate, loan product changes, or a prepayment penalty is added.

#38 DAY 1 TRID

FRONT

What is a changed circumstance?

#38 DAY 1 TRID

BACK

An event beyond control, new/inaccurate information, or borrower-requested change that affects settlement charges or eligibility.

#39 DAY 1 TRID

FRONT

What is zero tolerance under TRID?

#39 DAY 1 TRID

BACK

Certain fees cannot increase from the Loan Estimate to Closing Disclosure unless a valid exception applies.

#40 DAY 1 TRID

FRONT

What is the 10% cumulative tolerance bucket?

#40 DAY 1 TRID

BACK

Certain third-party and recording charges may increase by no more than 10% in total if the borrower uses providers selected by or identified by the creditor.

#41 DAY 1 OTHER FEDERAL LAWS

FRONT

What is HMDA's purpose?

#41 DAY 1 OTHER FEDERAL LAWS

BACK

To collect and report mortgage data to identify lending patterns, possible discrimination, and community credit needs.

#42 DAY 1 OTHER FEDERAL LAWS

FRONT

What is FCRA's mortgage relevance?

#42 DAY 1 OTHER FEDERAL LAWS

BACK

It governs use of consumer reports, permissible purpose, adverse action tied to credit reports, identity theft, and credit information accuracy.

#43 DAY 1 OTHER FEDERAL LAWS

FRONT

What does FACTA add?

#43 DAY 1 OTHER FEDERAL LAWS

BACK

Identity theft protections, fraud alerts, truncation rules, and free credit report rights.

#44 DAY 1 OTHER FEDERAL LAWS

FRONT

What are Red Flags Rules aimed at?

#44 DAY 1 OTHER FEDERAL LAWS

BACK

Detecting, preventing, and mitigating identity theft.

#45 DAY 1 OTHER FEDERAL LAWS

FRONT

What is GLBA's mortgage relevance?

#46 DAY 1 OTHER FEDERAL LAWS

FRONT

What is the Bank Secrecy Act / AML focus for mortgage?

#45 DAY 1 OTHER FEDERAL LAWS

BACK

Privacy and safeguarding of consumers' nonpublic personal information.

#46 DAY 1 OTHER FEDERAL LAWS

BACK

Detecting and reporting suspicious activity, including fraud, money laundering, and structured transactions.

#47 DAY 1 OTHER FEDERAL LAWS

FRONT

What is Regulation N?

#48 DAY 1 OTHER FEDERAL LAWS

FRONT

What is the E-SIGN Act?

#47 DAY 1 OTHER FEDERAL LAWS

BACK

Mortgage Acts and Practices advertising rule prohibiting material misrepresentations in mortgage advertising.

#48 DAY 1 OTHER FEDERAL LAWS

BACK

It allows electronic records and signatures if consumer consent and other requirements are met.

#49 DAY 1 OTHER FEDERAL LAWS

FRONT

What does the Homeowners Protection Act cover?

#50 DAY 1 OTHER FEDERAL LAWS

FRONT

What federal agency is central to consumer mortgage regulation?

#49 DAY 1 OTHER FEDERAL LAWS

BACK

Cancellation and termination of private mortgage insurance on certain residential mortgage loans.

#50 DAY 1 OTHER FEDERAL LAWS

BACK

CFPB, which administers or enforces many federal consumer financial protection laws.

#51 DAY 2 SAFE ACT / LICENSING

FRONT

What is the SAFE Act's purpose?

#52 DAY 2 SAFE ACT / LICENSING

FRONT

What is the NMLS unique identifier?

#51 DAY 2 SAFE ACT / LICENSING

BACK

To improve accountability and tracking of MLOs, enhance consumer protection, reduce fraud, and create minimum licensing standards.

#52 DAY 2 SAFE ACT / LICENSING

BACK

A permanent identifier assigned to an MLO or entity for tracking through NMLS and consumer access.

#53 DAY 2 SAFE ACT / LICENSING

FRONT

What two activities define an MLO under the SAFE framework?

#54 DAY 2 SAFE ACT / LICENSING

FRONT

Who usually does not need a state MLO license because of federal registration?

#53 DAY 2 SAFE ACT / LICENSING

BACK

Taking a residential mortgage loan application and offering or negotiating residential mortgage loan terms for compensation or gain.

#54 DAY 2 SAFE ACT / LICENSING

BACK

MLOs employed by federally regulated depository institutions or certain regulated subsidiaries, though they must be registered.

#55 DAY 2 SAFE ACT / LICENSING

FRONT

What is sponsorship?

#56 DAY 2 SAFE ACT / LICENSING

FRONT

Can an inactive or unsponsored licensee originate?

#55 DAY 2 SAFE ACT / LICENSING

BACK

A licensed company or qualifying entity authorizes and accepts responsibility for the MLO's licensed activity.

#56 DAY 2 SAFE ACT / LICENSING

BACK

No. The license must be active and properly sponsored/authorized.

#57 DAY 2 SAFE ACT / LICENSING

FRONT

What is temporary authority to originate?

#58 DAY 2 SAFE ACT / LICENSING

FRONT

What may state regulators examine?

#57 DAY 2 SAFE ACT / LICENSING

BACK

Limited authority for certain qualified MLOs moving from federal registration or another state license while a state application is pending.

#58 DAY 2 SAFE ACT / LICENSING

BACK

Books, records, documents, operations, and personnel related to mortgage origination and compliance.

#59 DAY 2 SAFE ACT / LICENSING

FRONT

What are common grounds for license denial?

#60 DAY 2 SAFE ACT / LICENSING

FRONT

What is a key advertising requirement for licensed MLOs?

#59 DAY 2 SAFE ACT / LICENSING

BACK

Failure to meet education/testing/background standards, lack of financial responsibility or character, disqualifying criminal history, or false/incomplete application information.

#60 DAY 2 SAFE ACT / LICENSING

BACK

Include the NMLS unique identifier where required, especially in advertisements and business materials.

#61 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

Which Texas agency licenses most primary residential mortgage MLOs?

#62 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

Which Texas agency licenses RMLOs for certain secondary or specialized credit products?

#61 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas Department of Savings and Mortgage Lending (SML).

#62 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas Office of Consumer Credit Commissioner (OCCC).

#63 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas law is central to RMLO licensing?

#64 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

Under Texas SML guidance, who must be licensed as an RMLO?

#63 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas SAFE Act, Texas Finance Code Chapter 180, plus related Texas Finance Code Chapter 157 for mortgage banker/RMLO licensing.

#64 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

An individual who, for compensation or gain, takes a residential mortgage loan application or offers/negotiates residential mortgage loan terms, unless exempt.

#65 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas pre-licensing education point should you remember?

#66 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What is Texas's main constitutional mortgage topic?

#65 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas requires SAFE/NMLS-approved education, including Texas-specific instruction on applicable laws, rules, and practice considerations.

#66 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Homestead lending, especially Texas Constitution Article XVI, Section 50.

#67 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas source lists mortgage origination statutes and rules?

#68 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas rule chapter governs residential mortgage loan originators under SML?

#67 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas SML's Mortgage Origination Laws and Regulations page.

#68 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas Administrative Code, Title 7, Chapter 55.

#69 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What Texas finance chapters should an RMLO recognize?

#70 DAY 2 TEXAS-SPECIFIC FOCUS

FRONT

What is the licensing lesson from Texas OCCC's RMLO page?

#69 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Chapters 156, 157, 159, 180, 342, and 343, depending on loan/product context.

#70 DAY 2 TEXAS-SPECIFIC FOCUS

BACK

Texas has two RMLO licensing agencies; product type and lending authority determine whether SML or OCCC applies.

#71 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a qualified mortgage?

#72 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a conventional conforming loan?

#71 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A loan meeting ATR/QM standards designed to limit risky features and support ability-to-repay compliance.

#72 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A non-government loan that meets Fannie Mae/Freddie Mac standards, including loan limits and underwriting rules.

#73 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a jumbo loan?

#74 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are FHA loans known for?

#73 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A conventional nonconforming loan exceeding conforming loan limits or agency requirements.

#74 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Government-insured loans with flexible credit/down-payment guidelines and mortgage insurance.

#75 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are VA loans known for?

#76 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are USDA loans known for?

#75 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Loans for eligible veterans/service members, often with no down payment and a VA guaranty.

#76 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Rural housing loans for eligible properties and borrowers, often with low or no down payment.

#77 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a fixed-rate mortgage?

#78 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is an ARM?

#77 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A mortgage with an interest rate that stays the same for the life of the loan.

#78 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

An adjustable-rate mortgage with an interest rate that can change after an initial fixed period according to index, margin, and caps.

#79 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are ARM caps?

#80 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a balloon mortgage?

#79 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Limits on how much the interest rate or payment can change at adjustment, annually, or over the life of the loan.

#80 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A loan with smaller payments followed by a large final payment at maturity.

#81 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a reverse mortgage?

#81 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A loan, often HECM, allowing older homeowners to access equity with repayment generally due when the borrower sells, moves out, or dies.

#82 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a HELOC?

#82 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A revolving home equity line of credit secured by the property.

#83 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is LTV?

#84 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is DTI?

#83 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Loan-to-value ratio: loan amount divided by property value or purchase price, depending on guidelines.

#84 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Debt-to-income ratio: monthly debt obligations divided by qualifying gross monthly income.

#85 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What are discount points?

#86 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is a 2-1 buydown?

#85 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Prepaid interest paid upfront to reduce the note rate, typically expressed as points where one point equals 1% of loan amount.

#86 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A temporary buydown where payments are subsidized, often 2% lower in year 1 and 1% lower in year 2 before reaching the note rate.

#87 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is table funding?

#88 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is subordination?

#87 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

A closing arrangement where the loan is funded by an investor or third party at settlement while another party originates.

#88 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Keeping an existing lien in a lower priority position behind a new or modified senior lien.

#89 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is an escrow account?

#89 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

An account used to collect and pay recurring property-related charges such as taxes and insurance.

#90 DAY 2 MORTGAGE PRODUCTS AND TERMS

FRONT

What is APR versus interest rate?

#90 DAY 2 MORTGAGE PRODUCTS AND TERMS

BACK

Interest rate is the cost of borrowing principal; APR reflects broader credit cost including certain fees.

#91 DAY 3 ORIGINATION WORKFLOW

FRONT

What is the difference between inquiry and application?

#91 DAY 3 ORIGINATION WORKFLOW

BACK

Inquiry is preliminary interest; application exists when required application information is received, triggering disclosure duties.

#92 DAY 3 ORIGINATION WORKFLOW

FRONT

What is the MLO's duty when taking an application?

#92 DAY 3 ORIGINATION WORKFLOW

BACK

Collect accurate information, avoid prohibited questions, make required disclosures, and avoid steering or misrepresentation.

#93 DAY 3 ORIGINATION WORKFLOW

FRONT

What does ability-to-repay require?

#93 DAY 3 ORIGINATION WORKFLOW

BACK

A reasonable, good-faith determination that the borrower can repay based on verified income/assets, employment, debt, credit history, payment, and related factors.

#94 DAY 3 ORIGINATION WORKFLOW

FRONT

What must be verified in underwriting?

#94 DAY 3 ORIGINATION WORKFLOW

BACK

Income, assets, employment, credit, liabilities, property value, occupancy, and loan-program eligibility.

#95 DAY 3 ORIGINATION WORKFLOW

FRONT

What is the purpose of an appraisal?

#96 DAY 3 ORIGINATION WORKFLOW

FRONT

What are the three common appraisal approaches?

#95 DAY 3 ORIGINATION WORKFLOW

BACK

To provide an independent opinion of property value supporting collateral analysis.

#96 DAY 3 ORIGINATION WORKFLOW

BACK

Sales comparison/market, cost, and income approaches.

#97 DAY 3 ORIGINATION WORKFLOW

FRONT

Why is appraiser independence important?

#97 DAY 3 ORIGINATION WORKFLOW

BACK

To prevent coercion, conflicts, inflated values, and unfair lending outcomes.

#99 DAY 3 ORIGINATION WORKFLOW

FRONT

What is flood insurance tied to?

#99 DAY 3 ORIGINATION WORKFLOW

BACK

Property in a Special Flood Hazard Area securing a loan from a covered lender.

#98 DAY 3 ORIGINATION WORKFLOW

FRONT

What is title insurance for?

#98 DAY 3 ORIGINATION WORKFLOW

BACK

To protect lender or owner against covered title defects, liens, or ownership claims.

#100 DAY 3 ORIGINATION WORKFLOW

FRONT

What are prepaid items?

#100 DAY 3 ORIGINATION WORKFLOW

BACK

Costs paid at closing for future periods, such as prepaid interest, taxes, insurance, or escrow setup.

#101 DAY 3 CALCULATIONS

FRONT

Formula for LTV?

#101 DAY 3 CALCULATIONS

BACK

Loan amount / property value = LTV. Example: \$240,000 / \$300,000 = 80%.

#102 DAY 3 CALCULATIONS

FRONT

Formula for CLTV?

#102 DAY 3 CALCULATIONS

BACK

Combined liens / property value = CLTV. Example: \$240,000 first + \$30,000 second / \$300,000 = 90%.

#103 DAY 3 CALCULATIONS

FRONT

Formula for front-end housing ratio?

#103 DAY 3 CALCULATIONS

BACK

Proposed housing payment / gross monthly income.

#104 DAY 3 CALCULATIONS

FRONT

Formula for back-end DTI?

#104 DAY 3 CALCULATIONS

BACK

Total monthly debt obligations including housing / gross monthly income.

#105 DAY 3 CALCULATIONS

FRONT

How do you calculate one discount point?

#105 DAY 3 CALCULATIONS

BACK

Loan amount x 1%. Example: 1 point on \$250,000 = \$2,500.

#106 DAY 3 CALCULATIONS

FRONT

How do you calculate simple daily interest?

#106 DAY 3 CALCULATIONS

BACK

Principal x annual rate / 365 x number of days.

#107 DAY 3 CALCULATIONS

FRONT

How do you calculate down payment?

#107 DAY 3 CALCULATIONS

BACK

Purchase price minus loan amount.

#108 DAY 3 CALCULATIONS

FRONT

What happens to LTV when down payment increases?

#108 DAY 3 CALCULATIONS

BACK

LTV decreases.

#109 DAY 3 CALCULATIONS

FRONT

What happens to DTI when monthly debts increase?

#109 DAY 3 CALCULATIONS

BACK

DTI increases.

#110 DAY 3 CALCULATIONS

FRONT

What is cash to close?

#110 DAY 3 CALCULATIONS

BACK

Borrower's total funds needed at closing after credits, deposits, loan proceeds, and closing costs are considered.

#111 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is redlining?

#111 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Refusing or limiting credit in certain areas based on prohibited characteristics rather than credit risk.

#112 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is steering?

#112 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Directing a borrower to a loan not in their interest because it benefits the MLO or company.

#113 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is predatory lending?

#113 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Abusive lending that exploits consumers through unfair, deceptive, unaffordable, or equity-stripping terms.

#114 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is a kickback?

#114 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Anything of value exchanged for referral of settlement-service business.

#115 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is fee splitting?

#116 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is occupancy fraud?

#115 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Sharing fees without services actually performed, often prohibited under RESPA.

#116 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Misrepresenting intended occupancy, such as claiming primary residence to obtain better terms while intending investment use.

#117 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is income fraud?

#118 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is asset fraud?

#117 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Falsifying or inflating income documentation or representations to qualify for a loan.

#118 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Falsifying assets, hiding borrowed funds, or using unexplained deposits as if they are legitimate borrower funds.

#119 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is straw buyer fraud?

#120 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is identity theft risk in mortgage origination?

#119 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Using another person as the borrower to hide the true buyer or beneficiary.

#120 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Use of stolen or synthetic identity information to apply for credit or obtain loan proceeds.

#121 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What should an MLO do when discovering false borrower information?

#122 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

Can an MLO coach a borrower to omit debts not showing on a credit report?

#121 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Stop, escalate according to company policy, document appropriately, and do not submit or rely on false information.

#122 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

No. Omitting known liabilities is misrepresentation and a prohibited/unsafe practice.

#123 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

Can an MLO use a supervisor's NMLS number in advertising or documents?

#124 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What makes mortgage advertising misleading?

#123 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

No. The correct individual/entity identifier must be used.

#124 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

False or incomplete terms, hidden conditions, inaccurate payment/rate claims, or creating a false impression about government affiliation or approval.

#125 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is UDAAP?

#125 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Unfair, deceptive, or abusive acts or practices.

#127 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is the ethical issue with pressuring an appraiser?

#127 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

It compromises independent valuation and can violate appraisal independence rules.

#126 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is the ethical response to a referral partner demanding payment for leads?

#126 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Refuse any prohibited referral fee/kickback and follow compliant marketing/referral rules.

#128 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is the ethical issue with unauthorized credit pulls?

#128 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Consumer reports require permissible purpose and proper authorization.

#129 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What is a conflict of interest?

#130 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

FRONT

What should guide product recommendation?

#129 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

A situation where personal or financial interests could compromise objective advice or consumer treatment.

#130 DAY 3 ETHICS, FRAUD, AND PROHIBITED CONDUCT

BACK

Borrower needs, eligibility, ability to repay, loan terms, documented facts, and lawful fair-lending standards.

#131 DAY 3 MIXED FINAL REVIEW

FRONT

Highest-weight NMLS content area?

#132 DAY 3 MIXED FINAL REVIEW

FRONT

Second-highest NMLS content area?

#131 DAY 3 MIXED FINAL REVIEW

BACK

Mortgage Loan Origination Activities at 27%.

#132 DAY 3 MIXED FINAL REVIEW

BACK

Federal Mortgage Related Laws at 24%.

#133 DAY 3 MIXED FINAL REVIEW

FRONT

Ethics weight on the NMLS outline?

#133 DAY 3 MIXED FINAL REVIEW

BACK

18%.

#134 DAY 3 MIXED FINAL REVIEW

FRONT

General Mortgage Knowledge weight?

#134 DAY 3 MIXED FINAL REVIEW

BACK

20%.

#135 DAY 3 MIXED FINAL REVIEW

FRONT

Uniform State Content weight?

#135 DAY 3 MIXED FINAL REVIEW

BACK

11%.

#136 DAY 3 MIXED FINAL REVIEW

FRONT

What should you do if exam facts conflict with old course notes?

#136 DAY 3 MIXED FINAL REVIEW

BACK

Use current statutes, regulations, and official NMLS/test-outline guidance.

#137 DAY 3 MIXED FINAL REVIEW

FRONT

What is consummation?

#137 DAY 3 MIXED FINAL REVIEW

BACK

The time the consumer becomes contractually obligated on the credit transaction under applicable law.

#138 DAY 3 MIXED FINAL REVIEW

FRONT

What should an MLO do with incomplete TRID disclosure information?

#138 DAY 3 MIXED FINAL REVIEW

BACK

Do not fabricate. Use known information, issue required disclosures timely, and update/revise only when rules permit.

#139 DAY 3 MIXED FINAL REVIEW

FRONT

What is a loan originator prohibited from doing under compensation rules?

#139 DAY 3 MIXED FINAL REVIEW

BACK

Varying compensation based on terms or conditions of the loan, such as interest rate or loan product features.

#140 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for disclosure timing questions?

#140 DAY 3 MIXED FINAL REVIEW

BACK

Identify the law, trigger event, clock start, business-day definition, and required recipient.

#141 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for ethics scenarios?

#142 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for fair-lending questions?

#141 DAY 3 MIXED FINAL REVIEW

BACK

Choose the answer that protects the consumer, documents truthfully, escalates compliance issues, and refuses undisclosed compensation or false information.

#142 DAY 3 MIXED FINAL REVIEW

BACK

Focus on creditworthiness and program criteria, never protected characteristics.

#143 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for Texas licensing questions?

#144 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for product questions?

#143 DAY 3 MIXED FINAL REVIEW

BACK

Identify the activity, compensation/gain, loan type, exemption, agency jurisdiction, and sponsorship status.

#144 DAY 3 MIXED FINAL REVIEW

BACK

Match borrower need and risk to product features: rate type, payment structure, insurance/guaranty, term, and eligibility.

#145 DAY 3 MIXED FINAL REVIEW

FRONT

What is the exam strategy for fraud questions?

#146 DAY 3 MIXED FINAL REVIEW

FRONT

What is a common wrong answer pattern?

#145 DAY 3 MIXED FINAL REVIEW

BACK

Spot inconsistencies, unexplained funds, occupancy conflicts, altered documents, pressure, and missing verification.

#146 DAY 3 MIXED FINAL REVIEW

BACK

It benefits the MLO/referral partner, hides information, delays required disclosure, or assumes undocumented facts.

#147 DAY 3 MIXED FINAL REVIEW

FRONT

What is the safest action when a borrower asks you to change facts to qualify?

#148 DAY 3 MIXED FINAL REVIEW

FRONT

What is the safest action when a fee changes near closing?

#147 DAY 3 MIXED FINAL REVIEW

BACK

Refuse, explain that the application must be accurate, and document/escalate according to policy.

#148 DAY 3 MIXED FINAL REVIEW

BACK

Determine tolerance category and valid change circumstance, redisclose/cure if required, and avoid unauthorized increases.

What is the safest action when a consumer asks for their Loan Estimate after the six application items are received?

What is the last-night rule?

Provide it within the required timing; do not wait for verifying documents.

Do not learn new obscure topics late. Review timing, formulas, prohibited acts, Texas licensing triggers, and missed cards.